Let us take an example. We saw that RSI entering the oversold and overbought zone is a good leading indicator of an upcoming reversal. The downside of the same is that RSI does not produce clear entry and exit signals. Moreover, there are times when RSI can stay in the oversold and overbought region for a while. So, we need another indicator that gives clear cut entry and exit signals following the leading signals and does so, only when actual reversal has taken place. So to do this, we try multiple different tools. We try Aroon oscillator, momentum oscillator, MACD etc. We then try moving average crossovers and they seem to be working the best in such a scenario. We then spend time understanding what time horizons to use for the crossover and let us say we agreed on 45 DMA and 9 DMA.

So, in this strategy, we have finalized upon the use of RSI and then crossover of 45DMA and 9DMA to enter and exit the trade. Using these, we have identified entry and exit. The next thing that we will do is back-test the same and estimate the results if this was used on the historical data. Estimate the average losses and profits and then the hit ratio.

We have finalized one hypothesis i.e. one projected strategy that should work logically. Whether it works or not, will only be determined by the results of back-testing. However, this way we keep on creating multiple such hypotheses and keep backtesting them. Commonly, more than 90% of such hypothesis will get rejected. However, the one that is left can be used by us for a very long period of time. So, we see how we can use different combinations of tools, test them and then validate which strategies to use.